Massey University Investment Club

Understanding El Niño 2026: Economic and Market Impacts

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Editors

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About MUIC

Massey University Investment Club (MUIC) is a student-led organization on the Albany campus at Massey University. Through weekly discussions, market outlooks, and industry engagement, MUIC aims to bridge academic learning with real-world finance.

Editorial Note

This weekly report is prepared for educational purposes only by the MUIC research team to provide a student-driven perspective on New Zealand's macroeconomic and financial developments. The objective is to enhance analytical thinking and encourage discussion within the club.

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El Niño has returned in 2026, and forecasters say this could be one of the strongest events since 1950. This report explains what El Niño is, how it could affect the global economy, and what it means for commodity markets and New Zealand specifically. It also looks at how governments, investors, and businesses are responding. The goal is to give a clear, short overview backed by real sources, not a forecast of exactly what will happen.

As always, this report has been prepared by the MUIC research team for educational purposes

1. What is El Nino?

El Niño is a natural weather pattern. It happens when the surface of the central and eastern Pacific Ocean warms above normal. This changes rain and wind patterns around the world. Some places get drought, others get heavy rain. It happens every two to seven years, but the strength varies a lot from one event to the next (National Oceanic and Atmospheric Administration [NOAA], Climate Prediction Center, 2026).

2. Impact on the global economy

NOAA moved its outlook to an "El Niño Advisory" in June 2026, meaning the event is already active and getting stronger. NOAA now puts the chance of a very strong event above 90% for this autumn and winter (NOAA, 2026). Citigroup estimates a global cost of $3 to $7 trillion in 2026, depending on severity. For comparison, the 1982 to 83 event cost $4.1 trillion and the 1997 to 98 event cost $5.7 trillion, based on peer reviewed research (Callahan & Mankin, 2023). This adds to inflation that is already high from the Iran war's effect on energy prices, with the World Bank forecasting a 16% rise in commodity prices in 2026, the first yearly rise since 2022 (World Bank, 2026). Even so, Morgan Stanley notes that past El Niño events did not usually cause big swings in broad markets. The damage tends to stay within specific commodities and countries (Morgan Stanley, 2026).

3. Impact of commodity markets, region by region

Asia: Weaker monsoon rain threatens sugar and rice in India and Thailand, and coffee in Vietnam, which supplies over 40% of the world's robusta coffee (Neuberger Berman, 2026).
West Africa: Wet weather brings crop disease, then dry winds later. This threatens cocoa harvests in Cote d'Ivoire, the world's top producer (Neuberger Berman, 2026).
South America: Mixed effects. Argentina and southern Brazil often get helpful rain. But Ecuador's cocoa crop suffers from flooding, and Brazil's sugar and soybean planting can be disrupted (Neuberger Berman, 2026; Morgan Stanley, 2026).

Australia: Wheat output has fallen in nearly every El Niño year over the past 60 years (Neuberger Berman, 2026).
Mining: Chile faces flood risk to copper mines, while Zambia faces drought risk that can cut hydropower and copper output (Morgan Stanley, 2026).
One exception worth noting: soybean supply is expected to be strong in 2026 to 27. Its price support comes from biofuel demand, not El Niño weather risk (Neuberger Berman, 2026).

4. Impact on the New Zealand market

The Reserve Bank of New Zealand found that El Niño usually brings drought to the east coast and more rain to the west. Their study of the 1997 to 98 event estimated a GDP hit of 0.2% to 0.5%, mostly through farming (Reserve Bank of New Zealand [RBNZ], 2015). Fonterra cut its 2026/27 milk price forecast to $9.25 per kgMS in July, mainly due to a global milk oversupply, but flagged El Niño as a factor that could still tighten global supply and lift prices later. Rabobank separately warned that El Niño could hurt production in New Zealand's own eastern dairy regions (NZ Herald, 2026; Newswire, 2026). New Zealand gets more than half its electricity from hydro dams. Since El Niño tends to bring more rain to the west, where the biggest hydro lakes sit, this could support storage, though some lakes were already below average by May 2026 (New Zealand Electricity Authority, 2026). All this lands on an economy already managing 4.1% inflation and 5.6% unemployment, with little room to absorb new cost pressure (RBNZ, 2026).

5. What can countries do?

Governments can spread out where they buy key goods like cocoa, copper, and sugar, instead of relying on one region. They can build stockpiles of grain and energy to release during shortages. Richer countries and institutions like the IMF can offer fast loans to countries hit hardest, and regional groups can share reserves, such as the ASEAN rice reserve. Central banks may also choose to look past short term food price rises rather than raise interest rates too quickly, since this kind of inflation comes from supply, not demand (Morgan Stanley, 2026).

6. What investors, traders, and businesses are doing

Neuberger Berman is advising clients to raise their commodity holdings, arguing that this is supply driven inflation that interest rate policy cannot easily fix (Neuberger Berman, 2026). Investors are watching sugar, cocoa, and copper closely, along with bond risk in countries like Ecuador, Zambia, and Colombia, while Chile, Argentina, and Uruguay are seen as possible winners (Morgan Stanley, 2026). Companies are also taking direct action. Fonterra keeps a wide range around its price forecast to account for the uncertainty (NZ Herald, 2026). In Peru, mining company Compania de Minas Buenaventura added $12 million to its capital spending plan specifically to prepare for El Niño related flooding risk, while in India, agriculture firm UPL said planting delays would push some demand into later quarters (Reuters, 2026).

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